

Standard Operating Procedures (SOPs)

HR & Payroll Department

ABC Ltd. – Fraud Prevention, Controls & Governance Framework

CFO Direct Oversight • Zero Tolerance Policy • Biometric-Linked HRIS Mandatory

Common Fraud Risks – HR & Payroll at ABC Ltd.

Context: Multi-site operations (plant, depots, chilling stations) with high casual workforce create elevated fraud exposure — patterns frequently observed in East African dairy & manufacturing sectors (ghost workers, shared M-Pesa accounts, payroll collusion, undocumented casuals).

1. **Ghost employees / Fictitious hires** — Adding non-existent staff (fake IDs, relatives, non-removed ex-employees); salaries diverted to fraudster or shared account.
2. **Zombie employees** — Terminated / retired staff kept active on payroll; payments continue undetected.
3. **Shared bank accounts / Agent codes** — Multiple “employees” routed to single M-Pesa / bank account (common in Kenya payroll scandals).
4. **Timesheet / Attendance fraud** — Padding hours, buddy punching, fake shifts at remote sites.
5. **Overtime / Allowance abuse** — Inflated night/weekend shifts, fabricated hardship / travel allowances without verification.
6. **Irregular promotions / Pay rate changes** — Promoting unqualified staff (often relatives), backdating for arrears.
7. **Casual / Temporary worker fraud** — Paying undocumented casuals (milk graders, loaders); no real attendance records; funds to HR network.
8. **Expense claim scams** — Fake receipts (fuel, travel), inflated medical / education claims.
9. **Dual / Multiple salaries** — Same person on payroll at multiple sites (e.g. Nakuru + Eldoret).
10. **Unauthorized bonuses / commissions** — Fabricated sales incentives via route sales collusion.

11. **Payroll data tampering** — Altering deductions (PAYE, NSSF, NHIF) or inflating gross pay to pocket difference.
12. **Collusion with external parties** — Fake recruitment agencies, bank insiders diverting funds.
13. **Leave / Absence abuse** — Fake sick leave paid at full rate; absent staff covered by ghost proxies.
14. **Onboarding fraud** — Fake qualifications / documents; HR approves for kickbacks.

Typical impact: Schemes often run 12–24 months undetected, costing **5–15%** of total payroll in similar emerging-market settings.

1. Employee Onboarding & Master Data Controls

- Centralized employee master file maintained in **Nairobi HRIS** — no local additions allowed without explicit CFO approval.
- **Mandatory documents:** National ID/passport, KRA PIN, NSSF/NHIF cards, verified bank details (bank letter + small test transfer), academic certificates (verified where applicable), signed contract.
- Biometric + facial photo enrollment at onboarding (timestamped, GPS-tagged where possible).
- **Casual/temporary workers:** High-risk category — max 3 months without full onboarding; **daily biometric clock-in** mandatory at site.
- Annual related-party declaration (all employees & HR staff); system auto-flags matches.
- **System prevents duplicates (ID, bank account, phone); flags dormant hires (>30 days no attendance).**

2. Attendance & Time Tracking

- **Biometric + facial recognition** clock-in/out mandatory at all locations — no manual registers permitted.
- System auto-calculates hours & overtime (policy cap: max 48 hrs/week unless pre-approved by CFO).
- Remote/chilling stations: Handheld biometric devices with daily sync + GPS validation for field collectors.
- Supervisor overrides require dual approval + written justification (full audit trail).

- Daily exception report (missed punches, anomalies) sent to CFO • Monthly random physical headcounts by Nairobi audit team.

3. Payroll Processing & Independence

- Payroll function segregated — dedicated Payroll Officer (Nairobi or rotating) executes run; HR only inputs data.
- **Four-eye approval chain:** HR → Payroll verification → Finance review → **CFO final sign-off** (every run).
- Pre-payroll automated checks: match attendance vs master, flag ghosts (>15 days no biometrics), shared accounts (>2 employees same bank).
- Payments: Direct bank/M-Pesa only (cash emergencies < KES 5,000 with dual approval); new hires receive small test payment first.
- **Monthly random 20% payroll sample audit • Headcount vs budget comparison • Flag unexplained headcount/payroll increases.**

4. Expense Claims & Reimbursements

- All claims require scanned/uploaded receipts with justification.
- Approval hierarchy: Employee → Line Manager → HR → Finance → CFO (for claims > KES 20,000).
- Caps & rules: km-based travel/fuel (GPS-verified for depots), original bills for medical/education.
- Petty cash/imprest: max KES 20,000 per person; full reconciliation before replenishment.
- **Random 15% monthly audit • Pattern detection (repeated vendors, frequent high-value claims) • No cash reimbursement > KES 10,000.**

5. Leave, Benefits & Deductions Management

- Digital leave application & multi-level approval — no manual entries allowed.
- Benefits (medical, housing, etc.): Pre-approved policy limits; claims matched to policy.
- Deductions (PAYE, NSSF, NHIF, loans): Auto-calculated; manual changes only by CFO.
- **Annual benefits audit • Flag unusual patterns (e.g. high medical claims from single site).**

6. Terminations & Offboarding

- Written notice + exit interview; immediate system deactivation (biometric blocked).
- Final settlement processed within 7 days; no post-termination payments without CFO approval.
- **Monthly “active but no attendance” report • Auto-deactivation after 30 days inactivity.**

7. Audits, Monitoring & Red Flags

- Quarterly forensic payroll audit (internal, CFO-directed) + annual external audit.
- CFO dashboard: headcount trends, payroll % of revenue, variance, ghost flags, shared-account alerts.
- Surprise site visits (unannounced biometric & headcount checks).
- Anonymous whistleblower hotline direct to CFO/Owner (reward KES 100,000–500,000 for proven cases).

8. Training, Culture & Accountability

- Quarterly fraud awareness training (real East African ghost-worker examples, red flags).
- HR/Payroll staff rotation every 18–24 months + background checks + fidelity bond coverage.
- Performance bonuses tied to clean audits, zero fraud incidents, headcount accuracy.

9. Technology & Security

- Integrated HRIS/Payroll system with full audit trails, role-based access, multi-factor authentication (MFA).
- Automated alerts: new hires without biometrics, unauthorized payroll changes, unusual payment patterns.
- Regular data backups + cybersecurity training (phishing prevention for payroll staff).

10. Escalation & Incident Response

- Any red flag (shared account, prolonged no-attendance): immediately hold payment + CFO investigation within 24 hours.

- Proven fraud → police report, full recovery, SOP update, blacklisting.

Implemented under direct CFO ownership — Zero Tolerance for Fraud

Goal: Eliminate ghost/zombie employees, shared accounts & casual payroll leakages within 6 months.
Monthly reporting required: Headcount accuracy • Audit findings • Fraud attempts detected/prevented.